“Do We Really Have to Spend Everything?”

A plain-English guide to what goes into the answer while Mom is in care.

Someone told you Mom's money all has to go to her care before Medicaid can help. It was said like a fact, and nobody explained where it came from. Meanwhile the bill comes every month and is paid from her accounts.

This guide doesn't answer the question for Mom. No page can, because the answer depends on her state and her situation. It explains what goes into the answer, so you know what to gather and what to ask. It explains. It doesn't advise.

Start with the monthly picture

Before any rule, there's a plain set of facts: what care costs, what comes in, and what is paying the difference.

The federal Administration for Community Living says the cost of long-term care depends on the type and duration of care, the provider and where you live, and that a facility may bill extra charges on top of its basic rate. So the useful numbers are Mom's own, from her own bills. [1]

Paying from a parent's own money at the start is common. Medicare.gov says Medicare generally doesn't cover long-term care in a nursing home, and that most people who enter nursing homes start by paying for their care out of pocket. [2]

- Gather the latest care bill, a rough list of Mom's monthly income, and a note of which account the difference comes from.
- How long her money may last is a question to bring to a professional. It isn't a sum for the kitchen table.

How Medicaid looks at what a person owns

Medicaid is a joint federal and state program, and the states run it day to day, including taking applications and deciding who is eligible. Medicare.gov puts the result in one line: Medicaid programs vary from state to state. [3] [2]

The Administration for Community Living's general description is that a person must have limited income and assets to be eligible for Medicaid. It adds that when a state looks at a person's assets, some are counted and others are excluded, and that the assessment “can be fairly complex, depending on how much and what kind of assets you have.” How a thing is owned is part of it: the full value of an asset owned jointly with someone else may be counted as belonging entirely to the person applying. [4]

“Spend-down” is the phrase people use for savings going down as care is paid for. Medicare.gov uses it that way: a person paying out of pocket in a nursing home “may eventually ‘spend down’” their assets. The phrase describes something that happens. It doesn't say how much, or of what. [2]

That is why “it all has to be spent” can't be checked from a page. Which of Mom's assets may be counted, and what that would mean for her, comes from a professional who knows her state.

- Write down what Mom owns and whose name is on each thing. Don't sort it into counted and not counted. That sorting is done with your Medicaid planner.
- When someone says “spend-down,” ask what they mean by it, and write down what they said and who said it.

If Mom is married

A spouse at home changes the questions. Medicaid.gov describes federal provisions written to prevent what it calls spousal impoverishment: leaving the spouse who still lives at home with little or no income or resources. Under them, Medicaid.gov says, a certain amount of the couple's combined resources is protected for the spouse living in the community, and, depending on that spouse's own income, some of the income of the spouse in an institution can be set aside for them too. [5]

How much, and how it works for a particular couple, isn't something a guide can say. One thing worth knowing: the Administration for Community Living says a married person in a nursing home who applies for Medicaid may also be asked to document the assets held when they first entered the nursing home. [3]

- If Mom has a spouse at home, note the spouse's income, the housing costs, and whose name is on what.
- If Mom is in a nursing home, find the statements from around the date she moved in and keep them together.

The products people mention and the moves families make

Insurance policies and annuities come up often. An annuity, in the Administration for Community Living's glossary, is a contract in which a person gives an insurance company money that is later distributed back over time. The National Council on Aging's advice is to talk to a professional before buying one, and to understand how the payments work and what fees and withdrawal limits apply. [6] [7]

How Medicaid treats a policy, an annuity, a retirement account or a funeral arrangement is not something the public sources behind this guide settle, and it isn't something to guess at. Of one life insurance option, the Administration for Community Living says only that using it "may affect your eligibility for Medicaid," and to check with the state Medicaid agency. [8]

Then there are the ordinary moves: a gift, a repayment to a relative, a new name on an account, a sale. Medicaid.gov describes a federal rule concerning people who need long-term care and have transferred, sold or gifted assets for less than they are worth. What that rule would mean for any one payment depends on the facts and the state, so each of these is a question before it is a decision. The Consumer Financial Protection Bureau, writing for people who manage a relative's money, says to get legal advice and be very careful about decisions that may affect Medicaid eligibility. [9] [10]

- Pull out the policies, contracts and statements Mom already has. Questions about a product go to a licensed insurance or financial professional as well as to your Medicaid planner.
- List any gift, repayment, sale or account change, done or being considered, with the date and who was involved.
- Keep the statements, receipts and contracts. The same Consumer Financial Protection Bureau guide says to keep receipts and notes even for small expenses.

What this means for your family

- "Do we have to spend everything?" doesn't have one answer for every family. It depends on Mom's state, what she owns and how it's owned, and whether she's married.
- Your part is to gather and to ask: the monthly picture, what Mom owns and in whose name, the decisions on the table, and the paper behind each.
- Applying for Medicaid means documenting what a person has (source 4 below), so the records you keep now are part of the work.
- How Medicaid rules may apply to Mom is a question for your Medicaid planner. Anything that needs legal review goes to an elder law attorney, and an insurance or financial product to a licensed insurance or financial professional.

What this guide doesn't do

It doesn't say what the rule is in Mom's state, which of her assets count, what has to be spent, or whether she qualifies for anything. It doesn't recommend any financial step, and nothing in it is legal, financial or tax advice. The general statements come from the sources below. The advice about what to gather and who to ask is ours.

Ready for the next step?

You know why there isn't one answer for every family, and what a professional would need to know about Mom's situation. The planning interview is where it starts to be about your family: it asks about your situation and gives you a free planning report you can bring to your Medicaid planner, or to any conversation about paying for care.

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WHERE THIS COMES FROM

1. Administration for Community Living (LongTermCare.gov), Costs of Care
2. Medicare.gov (Centers for Medicare & Medicaid Services), How can I pay for nursing home care?
3. Administration for Community Living (LongTermCare.gov), Applying for Medicaid
4. Administration for Community Living (LongTermCare.gov), Medicaid Eligibility
5. Centers for Medicare & Medicaid Services (Medicaid.gov), Spousal Impoverishment
6. Administration for Community Living (LongTermCare.gov), Glossary
7. National Council on Aging, What Is an Annuity? Types, Costs, Benefits, and Risks
8. Administration for Community Living (LongTermCare.gov), Using Life Insurance to Pay for Long-term Care
9. Centers for Medicare & Medicaid Services (Medicaid.gov), Eligibility Policy
10. Consumer Financial Protection Bureau, Managing Someone Else's Money: Help for agents under a power of attorney